

Repo rate hiked by 50 bps

Equity Research Desk

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RBI's monetary policy committee (MPC) has unanimously voted to increase repo rate by 50 bps to 5.4%. Overall the stance of RBI continues to remain hawkish i.e. withdrawal of earlier accommodative policy. RBI has front-loaded the rate hikes with cumulative hikes at ~150 bps so far. Going forward, further hikes should not be more than 25-50 bps in FY23. Current CPI inflation is easing out but still remains higher than RBI's comfort level. However, inflation trajectory is expected to come down going forward as per RBI, which makes us believe further hikes shall not be steep. Positively, GDP growth estimate for current fiscal is retained at 7.2%.

Standing Deposit Facility (SDF) rate stands adjusted to 5.15% from 4.65% and marginal standing facility (MSF) and bank rate to 5.65% from 5.15%

Inflation targeted at 6.7% in FY23; trajectory expected to move downwards

- CPI inflation eased to 7% in May-Jun vs. 7.8% in April, although still higher than tolerance band. Medium term target for CPI inflation is at 4% within a band of +/-2%.
- Upside risks to inflation persists from geopolitical shocks, international crude oil prices and appreciation of US dollar. RBI surveys expect input cost pressures to soften across sectors in H2.
- Inflation is expected to be at 6.7% for the full year FY23.
- Headline inflation has recently flattened and supply outlook is improving, supported by easing of global supply constraints. While, going forward, in the balance part of the year, is likely to subside to sub-6% levels.

GDP growth of 7.2% retained

- Better agricultural prospects is likely to aid the rural consumption.
- Government's capex push, improving bank credit to the companies and rising capacity utilisation will bolster the investment activity in the country.
- The south-west monsoon rainfall is 6% above the long period average. RBI sees urban demand is strengthening and rural demand is catching up.

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